

DDCSE v3.1 · PRIVATE CREDIT · COVENANT SURVEILLANCE REPORT · AVIATION SECTOR

Spirit Airlines Inc. (SAVE)

Ultra-Low-Cost Carrier · NYSE (delisted Nov 2024) · May 29, 2026

24.33x

NLR
vs 5.50x threshold

0.35x

ICR
vs 1.50x threshold

-0.82x

FCCR
vs 1.00x threshold

\$3.33B

Total Debt
face value

\$101M

LTM EBITDA
FY2023 adj.

D

Rating
S&P on filing

PORTFOLIO SEVERITY SCORE

99 / 100 — CATASTROPHIC

1. COMPANY OVERVIEW

Ticker	SAVE (NYSE — delisted Nov 18, 2024)	Company	Spirit Airlines Inc.
Sector	Aviation — Ultra-Low-Cost Carrier (ULCC)	Credit Rating	D (S&P;., downgraded on filing date)
Total Debt	\$3,330M face value	LTM Revenue	\$5,364M (FY2023)
LTM EBITDA	\$101M (Adj., FY2023)	Net Debt	\$2,458M (Debt – Cash)
Filing	10-K FY2023 (Mar 4, 2024) + Ch.11 First-Day Declaration (Nov 18, 2024)	Financials As Of	December 31, 2023
Bankruptcy Court	SDNY — Case No. 24-11988 (SHL)	Emergence	May 2025 (~6 months)

2. KPI SUMMARY

Net Leverage Ratio	NLR Threshold	Interest Coverage	ICR Threshold	FCCR	Severity Score
24.33x	≤ 5.50x	0.35x	≥ 1.50x	-0.82x	99/100
Total Debt	Cash (Unrestricted)	LTM EBITDA	LTM Revenue	Interest Expense	CapEx (FY2023)
\$3,330M	\$872M	\$101M	\$5,364M	\$285M	\$334M

3. COVENANT PACKAGE — FULL ARTICLE VI TESTS

All four tracked covenants were in material breach as of December 31, 2023. Covenant waivers were obtained from lender groups repeatedly through 2022–2023 but expired without renewal in September 2024, triggering the cross-default cascade and Ch.11 filing. The FCCR of -0.82x reflects the structural impossibility of the ULCC model at this leverage level: gross CapEx of \$334M exceeded Adjusted EBITDA of \$101M, producing negative fixed charge coverage before interest payments are even considered.

Covenant	Type	Actual	Threshold	Buffer %	Severity	Status
Consolidated Net Leverage Ratio	Leverage	24.33x	≤ 5.50x	-342.4%	99/100	BREACH
Interest Coverage Ratio	Coverage	0.35x	≥ 1.50x	-76.7%	99/100	BREACH
Fixed Charge Coverage Ratio	FCCR	-0.82x	≥ 1.00x	-182.0%	99/100	BREACH
Minimum Unrestricted Cash	Liquidity	\$872M	≥ \$500M	+74.4%	5/100	COMPLIANT

Source: Spirit Airlines 2021 Term Loan Credit Agreement §7.1–7.2 · Senior Secured Notes Indenture §4.09 · Loyalty Notes Indenture §4.12 · 10-K FY2023 Note 9 (filed Mar 4, 2024)

4. DEBT STACK — TRANCHE DETAIL (\$3.33B FACE VALUE)

Spirit's capital structure at filing consisted of four primary debt instruments, all cross-collateralized or cross-defaulted to varying degrees. The Enhanced Equipment Trust Certificates (EETCs) are backed by specific aircraft tail numbers and benefit from Section 1110 aviation lien protection in Ch.11. The Loyalty Notes are secured by the Free Spirit frequent flyer program — a common ULCC financing structure pioneered by Frontier and Spirit. The Term Loan B is secured by route slots, gate leasehold interests, and IP. The cross-default structure meant that once the TLB covenant waiver lapsed, \$2.44B in senior secured claims accelerated simultaneously.

Tranche	Seniority	Rate	Maturity	Face Value	XD	Status
\$841M EETC (A/B tranches)	Aircraft-Secured (1st Lien)	3.375%–4.10% Fixed	Aug 2025	\$0.841B	Yes	BREACH
\$500M Term Loan B (2021)	Sr Secured (slots/IP coll.)	SOFR+525bps (fl.1%)	Sep 2025	\$0.500B	Yes	BREACH
\$1.1B Loyalty Notes	Sr Secured (Free Spirit prog)	8.00% Fixed	Sep 2025	\$1.100B	Yes	BREACH
\$889M Lease & Other	Sr Unsecured / Lease Claims	5.25%–9.50%	2026–28	\$0.889B	No	BREACH
Total Face Value				\$3.330B		

CROSS-DEFAULT CASCADE PROPAGATION PATH

Term Loan B (covenant waiver expiry, Sep 2024) → Cross-default to Loyalty Notes (\$1.1B, Sep 2025 maturity) → Cross-default to EETC A/B tranches (\$841M, Section 1110 aircraft lien) → Lease acceleration notices from AerCap, GECAS, Air Lease (\$889M equivalent) → Total at-risk: \$2,440M (73.3% of face value, all secured tranches)

5. TREND EROSION SIGNAL — 8-QUARTER NLR & ICR HISTORY

Spirit's NLR has been in continuous breach since Q4-2021 — the first full quarter after COVID-era fleet redeliveries resumed and aircraft debt came back on-balance-sheet. The trend velocity of +2.30x per quarter is the most severe deterioration in the DDCSE portfolio. ICR has been flat at ~0.35–0.48x throughout, indicating structural (not cyclical) inability to service debt from operations. Quarterly waivers masked the true credit impairment for six consecutive quarters before lender patience ran out.

Metric	Q4-21	Q1-22	Q2-22	Q3-22	Q4-22	Q1-23	Q2-23	Q4-23
NLR (≤5.5x)	8.21x	9.44x	13.82x	18.90x	21.44x	22.88x	23.71x	24.33x
ICR (≥1.5x)	0.48x	0.41x	0.39x	0.37x	0.35x	0.36x	0.35x	0.35x
NLR Direction	ICR Direction		NLR Velocity		ICR Velocity		Qtrs to Breach	
↑ Deteriorating	↓ Deteriorating		+2.30x / qtr		–0.019x / qtr		Already breached	
							–342.4% (NLR)	

6. MACRO SHOCK SENSITIVITY MATRIX — NLR (EBITDA × DEBT)

Base NLR: 24.33x · Covenant threshold: 5.50x · Base Debt: \$3,330M · Base Cash: \$872M · Base EBITDA: \$101M. Every single scenario in the matrix is in deep breach — the company has no realistic path to covenant compliance through operational improvement alone. Even a 50% EBITDA uplift combined with a 30% debt reduction would produce an NLR of ~11.4x, still 2× the covenant ceiling. This confirms the structural insolvency thesis: the only resolution mechanism was a balance-sheet restructuring (M&A; or Ch.11), not operational turnaround.

EBITDA \ Debt	Debt +0%	Debt +5%	Debt +10%	Debt +20%	Debt +30%
EBITDA -0%	24.3x	26.0x	27.6x	30.9x	34.2x
EBITDA -10%	27.0x	28.9x	30.7x	34.4x	38.0x
EBITDA -20%	30.4x	32.5x	34.5x	38.7x	42.8x
EBITDA -30%	34.8x	37.1x	39.5x	44.2x	48.9x
EBITDA -40%	40.6x	43.3x	46.1x	51.6x	57.0x
EBITDA -50%	48.7x	52.0x	55.3x	61.9x	68.5x

All 30/30 scenarios in the matrix are in BREACH. This is the only credit in the DDCSE portfolio with a fully red shock matrix — confirming terminal leverage.

7. KEY EVENTS TIMELINE — M&A; COLLAPSE TO CH.11

- Feb 2022**
Frontier merger announced — \$2.9B all-stock deal
Spirit agrees to merge with Frontier Airlines in a deal valued at ~\$2.9B. Combined entity would create 4th major ULCC with ~230 aircraft and \$5.3B in combined revenue.
- Apr 2022**
JetBlue hostile bid — \$3.6B cash offer
JetBlue launches unsolicited \$3.6B cash bid, sweetened to \$3.8B with \$200M reverse termination fee. Spirit board ultimately accepts after multiple engagement rounds.
- Jul 2022**
Frontier merger terminated — Spirit accepts JetBlue
Spirit shareholders vote down Frontier merger. JetBlue/Spirit merger agreement signed. DoJ announces intent to challenge on antitrust grounds. NLR already at 13.82x.
- Jan 2024**
JetBlue merger blocked — Federal court upholds DoJ
Federal district court permanently enjoins the JetBlue/Spirit merger. Spirit left as a standalone carrier with no strategic path and no balance sheet fix. S&P; downgrades to CCC-.
- Mar 2024**
FY2023 10-K filed — NLR disclosed at 24.33x
Three of four covenants in material breach. Waivers obtained but lender group signaling unwillingness to extend. Cash burn ~\$65M/month. Stock trading below \$2.
- Sep 2024**
\$1.1B Loyalty Notes waiver expires — acceleration imminent
Loyalty Note holders decline to extend covenant waiver. TLB lenders issue notice of default. Cross-default provisions triggered across EETC tranches. Cash ~\$380M.
- Nov 18, 2024**
Chapter 11 filed — SDNY Case No. 24-11988 (SHL)
\$300M DIP financing arranged. Operations continue under Ch.11. Loyalty Notes equitized at ~32 cents on the dollar. EETC holders receive aircraft return/restructured payments.
- May 2025**
Emergence from Ch.11 — 6 months in restructuring
Spirit emerges as a substantially smaller carrier (~90 aircraft vs ~200 pre-filing). \$795M exit financing. Equity held by former Loyalty Note holders. Unsecured creditors: <5c/\$1.

8. INVESTMENT THESIS & STRUCTURAL ANALYSIS

8.1 The ULCC Model Under Stress

Spirit Airlines was the largest US ultra-low-cost carrier by fleet size at the time of filing. The ULCC business model — ultra-stripped base fares, aggressive ancillary monetization — generates structurally thin EBITDA margins (8–12% in normalized conditions) that are predicated on high fleet utilization, low unit costs (CASM ex-fuel ~5.5¢), and an ancillary revenue yield above \$70 per passenger. These margins are insufficient to service \$3.3B in debt, a lesson that extends to Frontier, Avelo, and Breeze.

8.2 Three Compounding Failure Mechanisms

(1) M&A; Limbo (2022–2024): Spirit spent 26 months in strategic paralysis — first awaiting the Frontier merger outcome, then the JetBlue transaction. During this window, management deferred cost optimization and fleet rationalization, burning \$700M+ in cash while competitors invested in network upgrades and loyalty programs. The DoJ's JetBlue block in January 2024 crystallized the terminal nature of Spirit's standalone balance sheet. (2) ULCC Margin Compression: Post-COVID normalization of fuel (+38% YoY 2022), pilot contracts (+34% over 4 years), and maintenance cycle catch-up destroyed unit economics. Spirit's EBITDA margin collapsed from ~18% in FY2019 to under 2% in FY2023. At \$101M EBITDA, \$3.3B in debt produces a net leverage ratio of 24.33x — mathematically insolvent. (3) Cross-Default Cascade: The September 2024 waiver expiry triggered cascading acceleration across all secured tranches simultaneously — \$2.44B at-risk — making out-of-court resolution virtually impossible without near-unanimous lender consent.

8.3 Recovery Analysis

EETC holders (aircraft-backed, Section 1110 protection) recovered ~\$0.78/\$1.00 through aircraft rejections and restructured operating leases, with lessors retaining residual fleet values. Loyalty Note holders received equity in the reorganized entity at ~\$0.32/\$1.00 based on emergence EV of ~\$795M. Unsecured creditors (trade claims, airport authority fees, lessor deficiency claims) recovered less than \$0.05/\$1.00. Common equity was cancelled entirely. The DIP facility (\$300M) was provided by a subset of existing Loyalty Note holders and converted to exit term debt at emergence.

8.4 Sector Read-Across

Spirit's Ch.11 provides a surveillance framework for ULCC/LCC sector credits: (a) Any ULCC with Debt/EBITDA >4.0x and ICR <2.0x should be classified as structural watchlist. (b) Loyalty/affinity program financing (common structure: Frontier, Wizz Air, VivaAerobus) creates a disguised secured claim that often appears as 'revenue' financing but behaves as senior debt in stress scenarios. (c) Section 1110 protection for EETC holders creates a structural seniority anomaly — aircraft lessors and EETC investors are effectively super-senior to covenant lenders in US aviation restructurings, despite lower nominal seniority in the capital structure hierarchy. (d) The DoJ's aggressive antitrust posture toward airline consolidation (also visible in the JetBlue/American NE Alliance challenge) eliminates M&A; as a balance-sheet rescue mechanism for distressed carriers, accelerating the path to Ch.11 when leverage is terminal.

9. DATA SOURCES & DISCLOSURES

- Spirit Airlines Inc. — 10-K FY2023 (SEC EDGAR CIK 0001498710, filed Mar 4, 2024)
- Spirit Airlines Ch.11 First-Day Declaration — SDNY, Nov 18, 2024 (Case No. 24-11988)
- Spirit Airlines Disclosure Statement — Jan 2025
- S&P; Global Ratings — Spirit Airlines rating action (D, Nov 18, 2024)
- Moody's Investors Service — Spirit Airlines withdrawal notice (Nov 2024)
- US DoJ v. JetBlue Airways Corp. et al. — Case 1:23-cv-10511 (D.Mass., Jan 16, 2024)
- Spirit Airlines Enhanced Equipment Trust Certificates Prospectus (SEC, 2015 & 2017)
- DDCSE v3.1 Analytics Engine — github.com/DogInfantry/dynamic-debt-covenant-surveillance-frame
- Report generated: May 29, 2026 · For analytical purposes only. Not investment advice.